

ORIGINAL

**IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF COLORADO**

FILED
U.S. DISTRICT COURT
DISTRICT OF COLORADO
2005 SEP 22 AM 10:29

GREGORY C. LANGHAM
CLERK

**VIC BARBISH PERSONAL GEMS, INC.,
HIGHLAND HOLDINGS, LLC.,
VICTOR BARBISH,
MARIO BARBISH,
HARRY HARRISON, and
KAREN KLAUSMEYER**

BY _____ DEP. CLK

CIVIL ACTION NO. _____

Plaintiffs,

05 - CV - 01853 - REB-CBS

v.

**WELLS FARGO AND COMPANY
STEVEN E. BOYNTON,
BOYNTON LAW OFFICES, PA, and
ALLEN BHAK**

Defendants,

COMPLAINT

Plaintiffs, VIC BARBISH PERSONAL GEMS, INC., HIGHLAND HOLDING, LLC, VICTOR BARBISH, MARIO BARBISH, HARRY HARRISON, and KAREN KLAUSMEYER by and through their undersigned counsel, for their Complaint against Defendants Wells Fargo & Co., Stephen E. Boynton, Boynton Law Offices, PA, and Allen Bhak, allege as follows:

I JURISDICTION AND VENUE

1. Jurisdiction over this action is conferred upon this Court by 28 U.S.C. § 1332.
2. Venue is proper in this Court under U.S.C. §§ 1391(a) and 1402 as a substantial part of the events or omissions giving rise to the Plaintiffs' claims occurred in the

judicial district of Colorado.

II. THE PARTIES

3. Plaintiff, Victor M. Barbish, hereinafter "Barbish," is a citizen of the United States and a resident of the State of Florida, with his principal residence at 8127 Snowy Egret Place, Brandon, Florida 34202. Barbish is a shareholder, director, officer, and CEO of Vic Barbish Personal Gems. Barbish is a member of Highland Holdings, LLC and the Highlands at Central City, LLC.

4. Plaintiff, Highland Holdings, LLC is a Wyoming Limited Liability corporation. Victor Barbish and Harry Harrison were members of Highland Holdings, LLC. Highland Holdings, LLC was established to develop land in Central City, Colorado.

5. Plaintiff, Vic Barbish Personal Gems, Inc., hereinafter "Vic Barbish Personal Gems," is a Delaware corporation, qualified to transact business in Colorado. Victor Barbish and Harry Harrison are directors, officers, and shareholders of Vic Barbish Personal Gems.

6. Plaintiff Harry Harrison, hereinafter "Harrison," is a citizen of the United States and a resident of the State of Arizona, with his principal residence at 3777 E. McDowell Rd., Apt. 1048, Phoenix, Az. 85008. Harrison is a shareholder, director, and officer of Vic Barbish Personal Gems. Harrison was a member of Highland Holdings, LLC.

7. Plaintiff Karen Klausmeyer, hereinafter "Klausmeyer," is a citizen of the United States and a resident of the State of Florida, with her principal residence at 117 Rivinia Drive, Jupiter, Florida 33485.

8. Plaintiff Mario Barbish, hereinafter "Mario," is a citizen of the United States and a resident of the State of Colorado, with his principal residence at 22 Sea Hero Terrace, Colorado Springs, Colorado 80906.

9. Defendant Wells Fargo and Company, hereinafter "Wells Fargo," is a banking and financial services company with branches in subdivisions located throughout the United States, including Colorado. It is a Delaware corporation with its principal office located at 420 Montgomery St., San Francisco California 94163. At all relevant times, the Plaintiffs dealt with Wells Fargo Bank West, or other Wells Fargo Bank subdivisions, located at 1740 Broadway C7300-483, Denver Colorado 80274, or other Colorado addresses. Wells Fargo may be served by agent for service of process through the Colorado Secretary of State.

10. Defendant Steven E. Boynton, hereinafter "Boynton," is a citizen of the United States and a resident of the State of Minnesota, with his principal residence at 219 Revere Ln. N., Champlin, Minnesota 55316. At all relevant times, Boynton was a member and principle of Boynton Law Offices, P.A. located at 12201 Champlin Drive, Champlin, Minnesota 55316.

11. Defendant Boynton Law Offices, P.A., hereinafter "Law Office", is a Minnesota professional association with its principal place of business at 12201 Champlin Drive, MN 55316.

12. Defendant Allen Bhak, hereinafter "Bhak," is a citizen of the United States and a resident of the State of California, with his last known principal residence at 91 Gregory Ln., Suite 22-23, Pleasant Hill, CA 94523.

III. FACTS

13. By this reference, paragraphs 1-13 above are fully incorporated as though the same were set forth fully herein.

14. On January 1, 2001 Plaintiffs entered into an investment transaction/contractual investment agreement with Defendant Wells Fargo.

15. Plaintiff Victor Barbish by and through his business partner Harry Newell Harrison personally gave Wells Fargo and its officers assets/diamonds that were credited \$630,000.00 for the Investment Program.

16. Victor Barbish and Harry Harrison trusted and relied upon Wells Fargo for the investment to be able to fund a land development project in Central City, Colorado, of which all defendants were aware and fully informed of at all relevant times.

17. The contract (attached as Exhibit "A") provided that Barbish by and through his company Vic Barbish Personal Gems, personal representative Harry Harrison, "shall receive gross returns on investment of **2% daily for a minimum of 5 days a week** with said 2% based upon the Principle. Payment shall occur as follows:

A. Within Ten Business Days of commencement of the Private Placement, Investor shall receive 100% of the value of its Principle which shall be paid to the Investor by the Disbursement Agreement.

B. Approximately 48 months from commencement of the Private Placement Investor shall receive an additional 100% of the value of its Principle which shall be paid to the Investor by the Disbursement Agreement.

C. At the end of the 48 months Trade Investor shall receive a total of **Nineteen Million Six Hundred Thirty Thousand Dollars (\$19,630,000.00)**. Administrator/Ed Baldwin is to receive Thirty Seven Million Seventy Thousand Dollars (\$37,070,000.00) and Coordinator/Wells Fargo Bank is to receive Six Million Three Hundred Thousand Dollars (\$6,300,000.00).

18. Wells Fargo and its officers and directors breached the contractual

agreement, and the Defendants did not disburse to Barbish and other Plaintiffs the principal amount of the investment, 100% of the value thereof, or the \$19, 630,000.00 by the deadline date of the agreement on or about January 1, 2005.

19. Relying upon the bank and its officers, Paragraph 3 of the contractual agreement states that the Administrators name, by and through Wells Fargo Bank Investment Management and Trust Department were to add their name to the Principle Account to allow Administrators daily electronic scanning and overnight lending strictly on a non-depletion basis.

20. Wiring statements of monies indicate that monies from a Wells Fargo Account with the name of Edison F. Baldwin dated 6/26/01 were wired to offshore accounts in the amount of \$6,300,000.00, the amount listed in the contract as Wells Fargo's fee for its services as administrator and coordinator of the investments. Further, another wiring statement indicates that monies in the amount of \$630,000.00 were transferred to an offshore account, the amount being identical to the initial investment Barbish made under the contract.

21. Contemporaneously, Plaintiffs told Defendants they were in need of a loan and additional funds to develop the 340 acre parcel of land for a destination and resort community located in Central City, Colorado. Defendants assured Plaintiffs they had expertise and successful associations with an offshore foundation and company who would pay off Plaintiffs \$10 million dollars balance owed on the contract to purchase the 340 acre parcel of land Victor Barbish had under contract, located in Central City, Colorado, with an additional \$200 million dollars by and through a guaranteed High Yield Investment Program (HYIP) that would earn an additional 90% per week for 40

weeks.

22. Defendants entered into an agreement with Plaintiffs to provide this investment as a guaranteed risk free investment, Government Insured, backed by the Federal Reserve and assured 100% safety and security of principal.

23. Wells Fargo Bank directors and employees authenticated the trading programs by presenting for inspection wire transfers, trades, and trading programs by and through Wells Fargo Bank, correspondence relating to the same, and High Yield Investment Program Contracts. Upon recommendation of Wells Fargo Bank officers who guaranteed success with traders, Defendants convinced Plaintiffs to obtain a Blocked Funds Safe Keeping Receipt, which would block title/deed to a \$16,000,0000.00 15 acre parcel of land in Wells Fargo Bank's Trust Safekeeping Vault which was to be held/"blocked" there for 14 months upon Defendants' request, instruction and expertise.

24. Additionally, a painting valued at \$4.2 million was stored and insured upon Defendants' recommendation at Terry Dowd for the fee of \$22,500, and blocked as collateral. Defendants told Plaintiffs that the program consisted of daily buying and selling of Medium Term Notes and/or Bank Guarantees through an offshore trader. This trader, according to Defendants worked through his associates offshore company known as Liberty Diamond and Gold Institute/Foundation and CEO Eric Gaille. Plaintiffs initially paid \$22,500.00 in insurance on the painting and an additional \$1000 in fees for the blocked funds.

25. Plaintiff Victor Barbish having relied upon Defendants' expertise and recommendations, contracted to purchase the 15 acre parcel of land from Mario Barbish c/o Marvinchi Italian Designs. Plaintiff gave an earnest money deposit in the amount of

\$25,000 with an additional deposit in goods with a net loss of \$57,560.00 due to Defendants' assurance of the success and guarantee of the loan/funding with NO risk. As per Defendants, expertise and assurance, funding was also to go towards the payoff on the balance owed on the 340 acre parcel of land Victor Barbish had under contract for a destination and resort community development at an approximate value of \$270 million dollars.

26. Wells Fargo was given the deed and painting initially as collateral in the high yield investment trading program. Defendants strung Plaintiffs along from one scheme to another including Private Placement Contracts of \$500 Billion Dollars to purchase (unregistered offshore securities) Medium Term Notes. Defendants assured Plaintiff of doing due diligence and continued to attempt to get funding on collateral by "shopping" offers through various "brokers".

27. Despite assuming numerous contractual obligations and making representations regarding investments the Plaintiffs were investing in, the Defendants defaulted completely on all of their obligations and none of the representations made regarding the investments or the promised returns materialized.

IV. CLAIMS

A. Count One – Breach of Contract

28. Plaintiffs incorporate herein paragraphs 1-27 above.

29. To prove a breach of contract claim, plaintiffs must show the following: (1) existence of a contract; (2) performance by plaintiffs or justifiable nonperformance; (3) defendants' failure to perform contract; and (4) damages to Plaintiffs.

30. Plaintiffs entered into a contract with Defendants that required Defendants to

procure certain funds for the Plaintiffs, and the Defendants contractually assumed the obligations.

31. Defendants never procured these funds, and therefore, by their actions and failures to so act, breached their contracts with the Plaintiffs.

32. Defendants breach constituted a failure by Defendants to perform a substantial part of the contract in which Plaintiffs relied upon and suffered financial losses and damages as a result of their guarantees for funding.

33. Plaintiffs performed all requirements of the contract.

34. Plaintiffs suffered damages as a result of Defendants' breaches of their respective contractual obligations.

B. Count Two – Fraudulent Misrepresentation (All Defendants)

35. Plaintiffs incorporate herein paragraphs 1 - 34 above.

36. The elements of fraudulent misrepresentation are: (1) a fraudulent misrepresentation of a material fact made by the defendant; (2) plaintiff's reliance on the material representation; (3) the plaintiff's had a right to or was justified in relying on the misrepresentation; and (4) the reliance resulted in damages. *M.D.C./Wood, Inc. v. Mortimer*, 866 P.2d 1380 (Colo.1994).

37. Defendants made numerous fraudulent misrepresentations of material fact to the Plaintiffs. Defendants fraudulently misrepresented Wells Fargo Bank's purported past successes as well as their current ability to procure funds for a loan and for an investment program that did not exist. Officers and directors of Defendant Wells Fargo, Defendant Bhak, and Defendant Boynton made statements intended to verify that the trading programs, traders, and returns were viable, real, and successful in the past. The Defendants claimed to have been involved in prior transactions of the same nature with great success.

38. A corporation or principal itself is generally liable for the acts of its agents, provided that the agents act within the scope of their authority. *Grease Monkey v. Montoya*, 904 P.2d 468 (Colo.1995). This is true even if the acts of its agents constitute a tort. Wells Fargo officers and directors entered into contractual obligations and made representations with their scope of actual and apparent authority.

39. Defendant Wells Fargo Bank is liable for the acts of its agents, including its officers and directors.

40. Defendants fraudulently represented the use of Plaintiffs' properties and assets placed in a "Safe Keeping Receipt" with Defendants.

41. Defendants knew or should have known that their representations to the Plaintiffs were false.

42. Defendants owed a duty to the Plaintiffs to disclose the true facts to the Plaintiffs, but failed or refused to do so, choosing instead to fraudulently conceal the true nature of the Defendants' fraud and deceit from the Plaintiffs.

43. Defendants never produced or procured funds in accordance with their Agreements and the "blocked funds safe keeping receipt." Defendants made the representations described herein with the intent and for the purpose of deceiving the Plaintiffs and to induce the Plaintiffs into relying on such representations.

44. The Plaintiffs, in reliance on the representations described herein, were induced to transfer property and assets into the accounts at Defendants Bank "Trust Safe Keeping Vault" and other accounts.

45. Through the Defendants repeated promises and misrepresentations regarding the availability of a loan and funding for their project, which had been specifically discussed

and contracted for, and the possibility of obtaining high yield returns on the certain foreign investments, Plaintiffs were further induced not to seek other forms of financing.

46. The Plaintiffs reliance on the representations described herein were reasonable under the circumstances, in that Plaintiffs received both written and verbal promises from the Defendants, who bolstered one another's credibility and asserted that they could perform as promised.

47. Plaintiffs were shown successful performance and guarantee of funds by and through Defendants copies of wire transfers directly from Wells Fargo Bank from the same High Yield Investment Program by and through the Director of Wells Fargo Bank.

48. When Plaintiffs did not receive loan/funding from the Defendants it was discovered that (1) the Defendants' representations were false; and (2) the Defendants could not perform their obligations under the Agreements and Safe Keeping Receipt and provide financing to the Plaintiffs.

49. As a direct and proximate result of the fraudulent conduct, the Plaintiffs suffered damages.

C. Count Three – Fraudulent Concealment (All Defendants)

50. Plaintiffs incorporate herein paragraphs 1 - 49 above.

51. The elements of fraudulent concealment are: (1) the defendants' concealment of a material existing fact that in equity or good conscience should be disclosed; (2) the defendants' knowledge that the fact is being concealed; (3) the Plaintiffs' ignorance of the fact; (4) the defendants' intent that the Plaintiffs act on the concealed fact; and (5) the Plaintiffs' action on the concealment resulting in damage. *Burman v. Richmond Homes, Ltd.*, 821 P.2d 913, 918 (Colo.App. 1991).

52. Defendants concealed the material fact that Wells Fargo Bank, and/or any

other Defendant, lacked the ability or intent to procure the necessary funds that they contracted with the Plaintiffs to provide.

53. Defendants knew or should have known that representations as to prior successful financings and successful participation in offshore high yield investment programs were not true.

54. By writing these letters, safe keeping receipts and making other misrepresentations, Defendants helped facilitate Defendant's Wells Fargo fraudulent concealment of the true facts concerning the financing/loan of the Plaintiffs' project and fulfillment of the agreements.

55. Defendants Wells Fargo Bank employed Defendant others to draft legal documents, contracts and correspondence assuring Plaintiffs that the contract would be fulfilled. By these actions, Defendant helped facilitate fraudulent concealment of the true facts concerning the loan/financing of Plaintiffs' project and fulfillment of the contracts.

56. As a direct and proximate result of this fraudulent concealment, the Defendants' fraudulent behavior remained hidden from the Plaintiffs until Plaintiffs realized from a Secret Service Agent that the high yield investment program did not exist in December 2002, and from Matt Kuenner, head of their Private Banking Trust Department, located at the main branch of Wells Fargo Bank in San Francisco, that the safe keeping receipt and blocked funds and trust safe keeping vault did not exist on or about early 2003, and that the safe deposit box renewal notice sent June 8, 2004 contained false unauthorized illegal information, Plaintiffs incurred damages and suffering.

57. Plaintiffs discovered that Defendants had obtained property, assets, and funds through a fraudulent investment scheme.

58. None of the Defendants ever produced or procured the funds promised under the contract.

59. None of the Defendants returned lost assets and monies as a result of Defendants fraud.

60. As a result of these actions, the Plaintiffs have suffered damages.

D. Count Four – Colorado Consumer Protection Act (All Defendants)

61. Plaintiffs incorporate herein paragraphs 1 - 60 above.

62. To prove a private cause of action under the Colorado Consumer Protection Act (CCPA), a plaintiff must show: (1) that the Defendants engaged in an unfair or deceptive trade practice; (2) that the challenged practice occurred in the course of the defendants' business, vocation, or occupation; (3) that it significantly impacts the public as actual or potential consumers of the defendants' goods, services, or property; (4) that the plaintiffs suffered injury in fact to a legally protected interest; and (5) that the challenged practice caused the plaintiffs injuries. *Hall v. Walter*, 969 P.2d. 224, 235 (Colo.1998). A party may establish a deceptive trade practice by proof that a defendant knowingly made a misrepresentation that induces a party's action or inaction. *Colorado Consumer Protection Act § 6-1-105(1) (e)*.

63. During the course of Defendants business, they knowingly made misrepresentations, as to their ability to provide a loan/funding, to comply with contractual obligations, and as to the ability of Defendants to invest funds for Plaintiffs in high yield investment programs, that induced the Plaintiffs to act.

64. During the course of all Defendants' business, they knowingly made misrepresentations, as to the blocked funds safe keeping receipt and high yield investment program that induced the Plaintiffs to act.

65. The actions of the Defendants impact the public as actual consumers of the Defendants services. Defendants have thousands of actual and potential clients throughout the country.

66. Plaintiffs suffered injury and damages as a result of these misrepresentations.

E. Count Five – Unjust Enrichment (All Defendants)

67. Plaintiffs incorporate herein paragraphs 1 - 66 above.

68. The essential elements of unjust enrichment are a benefit conferred on defendant, appreciation by defendant of the benefit, and acceptance and retention of benefit under circumstances such that it would be inequitable to retain the benefit without payment of value.

69. Defendants beneficially kept monies and things of value given by Plaintiffs for the blocked funds safe keeping receipt or for other investment pursuant to contract , insurance on the painting as well as expenses incurred and earnest money deposits made as a result of their representations without ever having completed the loan/funding transaction or complying with contractual obligations. These monies, in equity and assets and property lost as a result of Defendants representations, guarantees, actions, and omissions belong to the Plaintiffs. Defendants attained these monies and assets from Plaintiffs by alleging that certain loans, financing and investments could be obtained, when in fact such loans, financing, and investments were never obtained for Plaintiffs.

70. Defendants were able to use the monies and assets for personal gain and enrichment.

71. Defendants retained and obtained monies and assets without having conferred any benefit upon the Plaintiffs.

72. Plaintiffs suffered damages as a result and are entitled to recover the amount of monies and assets that they gave to Defendants.

F. Count Six – Intentional/Negligent Infliction of Emotional Distress and Outrageous Conduct

73. Plaintiffs incorporate herein paragraphs 1 - 72 above.

74. The elements for a claim of intentional infliction of emotional distress or outrageous conduct are: (1) extreme outrageous conduct by the defendant; (2) that was engaged in recklessly or with intent of causing severe emotional distress; and (3) defendant's conduct caused plaintiff to suffer severe emotional distress. *Rugg v. McCarty*, 476 P.2d 753 (Colo.1970). Additionally, a plaintiff may establish negligent infliction of emotion distress when a defendant negligently violated a legal duty of care owed to the plaintiff. *English v. Griffith*, 99 P.3d 90 (Colo. App. 2004).

75. Defendants' fraudulent conduct was so outrageous in character and so extreme in degree as to go beyond all bounds of human decency, and is to be regarded as atrocious and utterly intolerable in a civilized community. Alternatively, the Defendants' action, representations, and omission negligently breached a legal duty of care owed to the Plaintiffs, thereby causing emotional distress.

76. The reckless and intentional acts of the Defendants mentioned herein were performed with complete recklessness and intent of causing severe emotional distress for Plaintiffs, and that these acts did in fact result in severe emotional distress.

77. As a direct and proximate result of the Defendants acts, Plaintiffs were caused to incur severe and grievous mental and emotional suffering, anguish, medical distress, medical illness, and anxiety, which have required and will continue to require medical attention.

G. Count Seven – Breach of Fiduciary Duty (All Defendants)

78. Plaintiffs incorporate herein paragraphs 1 - 77 above.

79. The elements for a claim of breach of fiduciary duty are: (1) the defendant acted as a fiduciary of the plaintiff; (2) the defendant breached his fiduciary duty to the plaintiff; (3) the plaintiff incurred damages; and (4) defendant's breach of fiduciary duty caused the plaintiffs' damages. *Rupert v. Clayton Brokerage Co.*, 737 P.2d 1106 (Colo.1987).

80. Defendants acted as agents of the Plaintiffs in the transaction, and held funds, property and assets on behalf of the Plaintiffs. Defendants acted as fiduciaries to the Plaintiffs.

81. Defendants through their actions or failures to act described herein breached their fiduciary duties to the Plaintiffs.

82. The Plaintiffs incurred damages described herein.

83. The Defendants actions were the cause of the Plaintiffs' damages.

H. Count Eight – Tortuous Interference with Contractual Relations (All Defendants)

84. Plaintiffs incorporate herein paragraphs 1 - 83 above.

85. A claim of interference with contractual relationship requires that the plaintiff show: (1) the existence of a valid contract between the plaintiff and a third party; (2) knowledge by the defendant of a contract; (3) intent by the defendant to induce a breach of contract by the third party; (4) intentional action by the defendant that induced the breach of the contract; and (5) resulting damages. *Hanley v. Continental Airlines, Inc.*, 687 F.Supp. 533 (D.Colo.1988).

86. Plaintiffs had contracts with the owners of land slated for development,

several vendors, suppliers, individuals and other entities which were compromised and/or fully breached as a direct result of the Defendants actions. Defendants were intimately aware of these contracts and knew or should have known the consequences of their fraudulent misrepresentations and failure to provide funding and other actions stated herein.

87. Defendant had full and specific knowledge of these contracts and the other Defendants knew or should have known of these contracts.

88. The actions of the Defendants were intentional, willful, and calculated to cause damage.

89. As a proximate result of the acts of the Defendants, the Plaintiffs were induced into conduct that ultimately led to the material breach of the contracts described above.

90. These breaches resulted in damages to the Plaintiffs.

I. Count Nine – Fraudulent Inducement (All Defendants)

91. Plaintiffs incorporate herein paragraphs 1 - 90 above.

92. Elements necessary for proving fraud are: false representation or concealment of material existing fact; with knowledge that representation was false or that fact which was concealed in equity and good conscience should have been disclosed; ignorance on the part of the one to whom representations are made or from whom fact is concealed of the falsity of the representation or existence of the fact concealed; justifiable reliance; resulting in damages. Morrison v. Goodspeed, 68 P.2d 458 (Colo.1937).

93. Defendants fraudulently induced the Plaintiffs to enter into contracts.

94. Defendants' actions fraudulently induced Plaintiffs to place property deeds and assets into accounts for a blocked funds safe keeping receipt by and through Defendants.

95. Defendants knowingly made false representations and concealed material facts, described herein, as to the ability of the Defendants to finance the project.

96. Plaintiffs were ignorant of the facts of these false representations and concealed material facts.

97. Plaintiffs justifiably relied upon the false representations and concealed facts made by the Defendants.

98. Plaintiffs suffered damages as a result of Defendants' actions.

J. Count Ten – Breach of Covenants of Good Faith and Fair Dealing

99. Plaintiffs incorporate herein paragraphs 1 - 98 above.

100. Every contract imposes upon each party a duty of good faith and fair dealing in its performance and its enforcement. *Restatement (Second) of Contracts § 205; Colorado Nat'l Bank v. Friedman*, 846 P.2d 159 (Colo.1993).

101. Defendants breached the implied covenants of good faith and fair dealing arising out of the contract between the Plaintiffs and Defendants.

102. As a result of these actions, Plaintiffs suffered damages.

K. Count Eleven – Fraud

103. Plaintiffs incorporate herein paragraphs 1 – 102 above.

104. Elements necessary for proving fraud are: false representation or concealment of material existing fact; with knowledge that representation was false or that fact which was concealed in equity and good conscience should have been disclosed; ignorance on the part of the one to whom representations are made or from whom fact is concealed of the falsity of the representation or existence of the fact concealed; justifiable reliance; resulting in damages. *Morrison v. Goodspeed*, 68 P.2d 458 (Colo.1937).

105. Defendants knowingly made false representations and concealed material

facts that in equity and good conscience should have been disclosed, as described above and incorporate herein by reference.

106. Plaintiffs were ignorant of the falsity of the false representations or the existence of the facts concealed.

107. Plaintiffs justifiably relied upon the false representations and concealed material facts of the Defendants.

108. Plaintiffs suffered damages as the result of Defendants' fraud.

L. Count Twelve –Negligence

109. Plaintiffs incorporate herein paragraphs 1 – 108 above.

110. Defendants represented several proposed loan/funding transactions and investment contractually agreed to. None of these transactions closed and as a result of false representations Plaintiffs incurred damages.

111. Defendants reasonably knew or should have known that Defendants would not be able to complete a transaction, and that any funds, property and assets obtained had been obtained under those conditions.

112. Defendants Wells Fargo and any and all its officers, employees, directors and affiliates knew or should have known that the offshore high yield investment program was non-existent and/or fraudulent.

113. The elements of a negligence action consist of a legal duty, a breach of the duty, causation, and damages. Casebolt v. Cowan, 829 P.2d 352 (Colo.1992).

114. When a non-client of a lawyer is invited to rely on a lawyer's service and so relies, the lawyer owes a duty to use care to the non-client. *Restatement (Third) of The Law Governing Lawyers* § 73(2).

115. When a lawyer knows that the one of the client's primary objectives with

respect to the representation is to benefit a non-client, the lawyer owes a duty of care to the non-client. *Restatement (Third) of The Law Governing Lawyers* § 73(3).

116. When a lawyer's client is acting as a fiduciary with respect to a non-client, and circumstances known to the lawyer make it clear that appropriate action is necessary to prevent or rectify a breach of the client's fiduciary duty to the non-client, the lawyer owes a duty of care to the non-client. *Restatement (Third) of The Law Governing Lawyers* § 73(3)

117. Wells Fargo Bank invited Plaintiffs to rely upon their bank officers with expertise related to the proposed funding and investments which in turn was drawn by and through Wells Fargo. The Defendants had a legal duty to use care and act reasonably and prudently towards the Plaintiffs with who they had engaged in contractual obligations, the performance of which would result in their pecuniary gain and benefit.

118. Defendants Boynton and Boynton Law Firm knew or reasonably should have known Plaintiffs were relying upon Defendants' expertise in preparing legal materials for the transactions, vouching for the legal propriety and legitimacy of the transactions, and directing all parties including Plaintiffs towards conduct to facilitate and carry out transactions which Defendant's knew or should of known were suspect and did not exist.

119. The law firms knew that Wells Fargo was acting as fiduciary with respect to assets, property and funds received from Plaintiffs.

120. Defendants had a legal duty to use care and act reasonably and prudently towards the Plaintiffs.

121. Defendants breached duties by their actions described above and their inaction in failing to make Plaintiffs aware of the true nature of the transactions engaged in pursuant to contractual obligations assumed by the Defendants.

122. Defendants' negligence caused harm to the Plaintiffs.

123. Plaintiffs suffered damages as a result of Defendants' negligence.

M. Count Thirteen – Negligent Misrepresentation (All Defendants)

124. Plaintiffs incorporate herein paragraphs 1 - 123 above.

125. The following elements are necessary to establish a claim of negligent misrepresentation: One who, (1) in the course of his business profession or employment, or in any other transaction in which he has a pecuniary interest, (2) supplies false information for the guidance of others in their business transactions upon which the others justifiably rely, and (3) fails to exercise reasonable care or competence in obtaining or communicating the information, is subject to liability for loss caused to those receiving the information.

First National Bank v. Collins, 616 P.2d 154 (1980).

126. Defendants supplied false information for the guidance of the Plaintiffs in the funding/loan transaction and investments.

127. Defendants knew or should have known of their inability to produce and/or procure funds and viable investments for the Plaintiffs, and had Plaintiffs been truthfully informed of the true nature of Defendants' limitations, the Plaintiffs would have avoided damages including, but not limited to lost investment returns, lost business profits, earnest money deposits, expenses, legal fees and property.

128. Plaintiffs justifiably relied upon the information received from the Defendants.

129. Defendants failed to exercise reasonable care or competence in obtaining or communicating the information to the Plaintiffs.

N. Count Fourteen – Civil Conspiracy

130. Plaintiffs incorporate herein paragraphs 1 - 129 above.

131. The elements of civil conspiracy include: (1) two or more persons; (2) an illegal objective to be accomplished; (3) a meeting of the minds on a course of action; (4) one or more overt acts; and (5) damages as the proximate result. *Nelson v. Elway*, 908 P.2d 102 (Colo.1995).

132. Defendants are two or more persons.

133. Defendants had a meeting of minds to systematically misrepresent and delay the financing of the project in order to have use of the property, assets and monies.

134. Defendants worked in concert to conspire and commit fraud and other wrongful acts.

135. Plaintiffs suffered damages as the result of Defendants civil conspiracy.

O. Count Fifteen – Conversion

136. Plaintiffs incorporate herein paragraphs 1 - 135 above.

137. Conversion consists of the wrongful deprivation of property which the plaintiff is entitled to possess. *Commercial Credit Corp. v. University Nat'l Bank*, 590 F.2d 849, 852 (10th Cir.1979). Conversion also requires that the plaintiff demands return of the property and the defendant refuses to return the property. *Glenn Arms Assocs. v. Century Mortgage & Inv. Corp.*, 680 P.2d 1315 (Colo.App.1984).

138. Defendants wrongfully deprived the Plaintiffs of monies, assets and property given to Defendants, and investment opportunities accompanying their wrongful retention. Defendants converted and misappropriated Plaintiffs' funds for their own use and benefit.

139. Plaintiffs are entitled to said monies, assets and property, and for any returns confiscated by investment of the same by Defendant without Plaintiffs' knowledge, assent, or benefit.

140. Plaintiffs demanded return of said monies, property value and assets.

141. Plaintiffs suffered damages as a result of Defendants' actions.

P. Count Sixteen – Interference with Prospective Advantage

142. Plaintiffs incorporate herein paragraphs 1 - 141 above.

143. The elements for a claim of interference with prospective advantage are:

(1) improperly and intentionally inducing or otherwise causing a third person not to enter into or to continue the prospective relation or (2) preventing the other from acquiring or continuing the prospective relation. *Montgomery Ward & Co. v. Andrews*, 736 P.2d 40 (Colo.App.1987).

144. Defendants improperly and intentionally or negligently, through their misrepresentations and delays, caused numerous persons not to enter into contracts with the Plaintiffs, including, but not limited to, failure to procure the contract with the Morrone family for the purchase of the Property.

145. Plaintiffs suffered damages as a result of Defendants action.

Q. VIOLATION OF THE ANTI-FRAUD PROVISIONS OF THE SECURITIES AND EXCHANGE ACT OF 1934, AS AMENDED

146. Plaintiffs incorporate herein paragraphs 1 - 145 above.

147. Defendants willfully, intentionally and recklessly violated Section 10 (b) of the Securities and Exchange Act of 1934, as amended and Rule 10b-5 promulgated there under in connection with the false representation, selling securities without a license and the selling of unregistered securities. Defendant's actions are also violative of state law.

148. Defendants acted with intent to defraud or with willful and reckless disregard for the Plaintiffs' interests. See Craighead vs. E.F. Hutton & Co., Inc. 899 F2d 485 (6th Cir. 1990); Miley vs. Oppenheimer & Co., Inc. 637 F2d 318 (5th Cir. 1981).

Specifically, Defendants misrepresented their ability to perform contractual obligations to provided funding or investments through high yield investment programs, misrepresented that they had engaged in successful transactions of this nature prior, misrepresented communications had with “traders” and other supposed program participants, and misrepresented the nature of the funding and investment programs themselves.

149. Defendant’s misrepresentations, acts, and omissions violated their covenant to exercise their fiduciary responsibility, and deal with the Plaintiffs in good faith and fair dealing.

150. Plaintiffs relied upon these misrepresentations, acts, and omissions and were directly damaged thereby.

R. RICO CLAIM

151. Plaintiffs incorporate herein paragraphs 1 - 150 above.

152. Defendants conduct, as alleged above violated the Racketeer Influenced and Corrupt Organization Act (RICO), 18 U.S.C. Sec. 1962 (a), (b), (c) and (d) as well as Colorado’s corresponding Act.

153. By virtue of the acts described herein, Defendants were joined actively and as conspirators, in an “enterprise engaged in interstate commerce, within the meaning of 18 USC, Sections 1961 and 1962, as further defined and upheld in Sedima, SEPRI vs. Imrex Co., Inc., 473 US 479, 482 (f.n.3) (1985), which specifically held securities fraud was a civil RICO cause of action.

154. By virtue of the acts described herein, Defendants and its co-conspirators were engaged in a pattern of racketeering activity within the meaning of 18 USC,

Sections 1961 and 1962. The pattern of racketeering violated Federal Security Laws, as alleged in earlier Counts.

155. As a direct and proximate result of the Defendants acts, Plaintiffs have suffered substantial damages, thus suffering an injury to business and property within the meaning of 18 USC, Section 1964(c). Actual damages should be trebled.

156. Plaintiffs have suffered losses by reason of these RICO violations by Defendants.

ATTORNEY'S FEES

157. Plaintiffs incorporate herein paragraphs 1-156 above.

158. Plaintiffs specifically plead that the Defendants are liable under Colorado State statutes or any other statute or law which provides for attorneys fees. Plaintiffs intend to make application to for a determination of an appropriate amount of fees to be awarded.

PUNITIVE DAMAGES

159. Plaintiffs incorporate herein paragraphs 1-158 above.

160. The reprehensibility of Defendants' conduct herein and the duration of the conduct warrant an award of punitive damages as permitted by law.

DAMAGES AND PRAYER FOR RELIEF

160. Plaintiffs incorporate herein paragraph's 1-160 above.

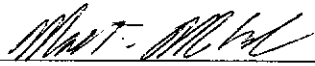
161. Plaintiffs pray for judgment and jury against Defendants, jointly and severally, as follows:

a. For actual damages as the Court may determine, and pre-judgment and post-judgment interest;

- b. For punitive damages in the amount permissible in law, for Defendants' reprehensible conduct, where warranted;
- c. For an award of statutory treble damages under the Colorado Consumer Protection Act, or other act, as the Court may determine;
- d. For damages that attempt to restore the Plaintiffs to the financial position they would have occupied had the contracts been fulfilled as the Court may determine; and
- f. For such other relief as this Court deems just and proper.

DATED this the 21st day of September, 2005.

Attorneys for Plaintiffs,
Victor Barbish, et al.



Mitchell H. Tyner, Sr.
Mark T. McLeod
TYNER LAW FIRM, PA
5750 I-55 North
Jackson, MS. 39211
Phone: (601)957-1113
Fax: (601) 957-6554